

Low-risk investors face a significant risk: not having enough money for retirement. If you don't invest in stocks, you miss out on the most financially rewarding investment. Historically, the stock market has always outperformed other investments (and the pace of inflation) over time.

High-risk investors are willing to take major risks in exchange for the possibility of substantial returns. They can still sleep at night even if they lose large amounts of money. Moderate-risk investors are willing to take low to medium risks to increase their chances of investment growth. Conservative investors are uncomfortable at the thought of losing money in their investments and will give up the chance of high returns for the stability and safety of conservative investments with more predictable income. They are more concerned about losing money than they are about the potential for higher returns.

The highest-risk investments are futures, commodities, limited partnerships, collectibles, real estate investment trusts (REITs), penny stocks (stocks that cost under \$5 per share), speculative stocks (such as stock in new companies), foreign stocks from volatile nations, and high-yield (or "junk") bonds. Moderate-risk investments include growth stocks (companies that reinvest most of their profits to grow the business), corporate bonds with lower ratings, balanced mutual funds, aggressive mutual funds, rental real estate, annuities, index mutual funds, blue chip stocks, and international stocks in developed nations. Limited-risk investments are corporate and municipal bonds with high ratings. The lowest-risk investments are Treasury bills, U.S. savings bonds, bank CDs, and money market funds.



It's not a good idea to buy bonds when interest rates are expected to rise soon, because you'll be stuck with a lower-than-market interest rate and will be earning less than you would have if you'd waited a short time. The price of a bond tends to go up when interest rates go down and vice versa.